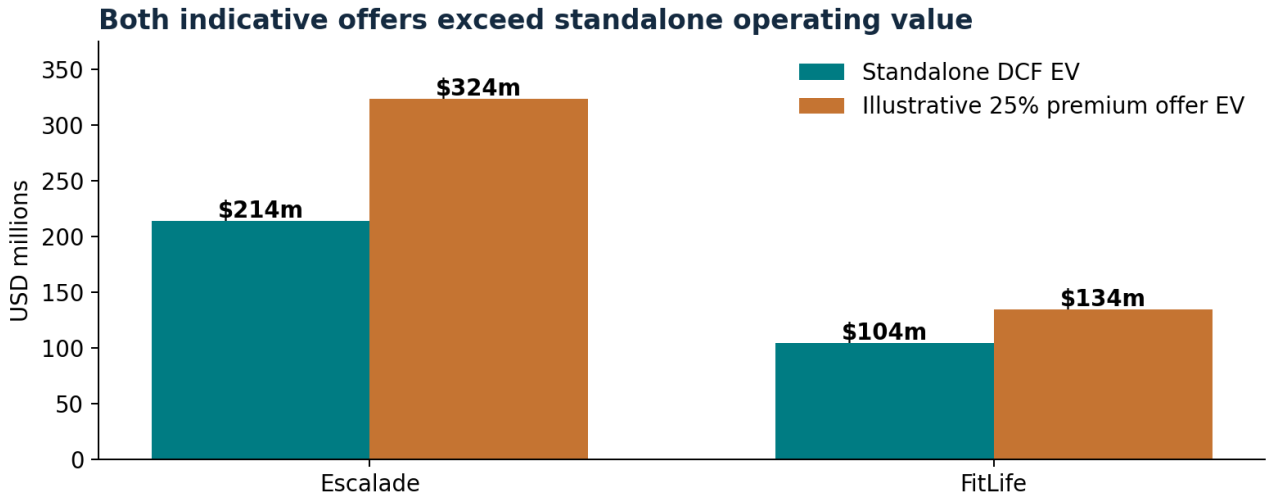
Under Armour | target valuation appendix

PwC x Goizueta 2026 case | October 22, 2026 information cut-off | USD millions

A1. Decision in one view

FitLife meets the different-industry test more clearly; Escalade offers a more direct sports-participation story but needs an organizer eligibility ruling. Neither modeled 25%-premium offer clears standalone DCF. The gaps are synergy value hurdles, not booked cash losses.

Measure	Escalade	FitLife
LTM June 2026 revenue	243.8	101.3
Operating income used	20.3, tariff normalized	11.0 GAAP
Standalone DCF EV	214.1	104.3
Illustrative offer EV	323.5	134.0
DCF EV less offer EV	(109.4)	(29.8)
Closing UA cash at modeled mix	261.5	306.5



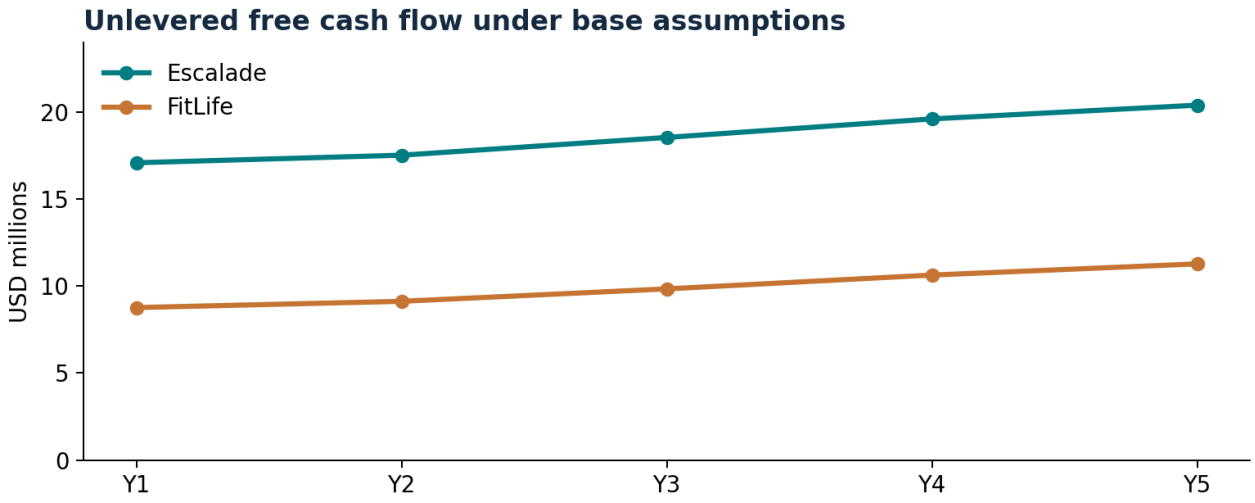
Illustrative DCF; source filings through Jun 2026 and Oct 22 indicative quotes. No synergies. See workbook assumptions.

Source: Escalade and FitLife FY2025 10-Ks and June 2026 10-Qs; indicative October 22 secondary quotes. Standalone DCF assumptions in the live workbook. 25% offer premium and cash/stock mix are team scenarios.

A2. Five-year unlevered cash flow

FCF = EBIT - cash tax + D&A - capex - incremental working capital. Each rolling year follows the June 2026 LTM. Terminal value uses Year 5 FCF x (1 + g)/(WACC - g), discounted five years. No operating synergies are included.

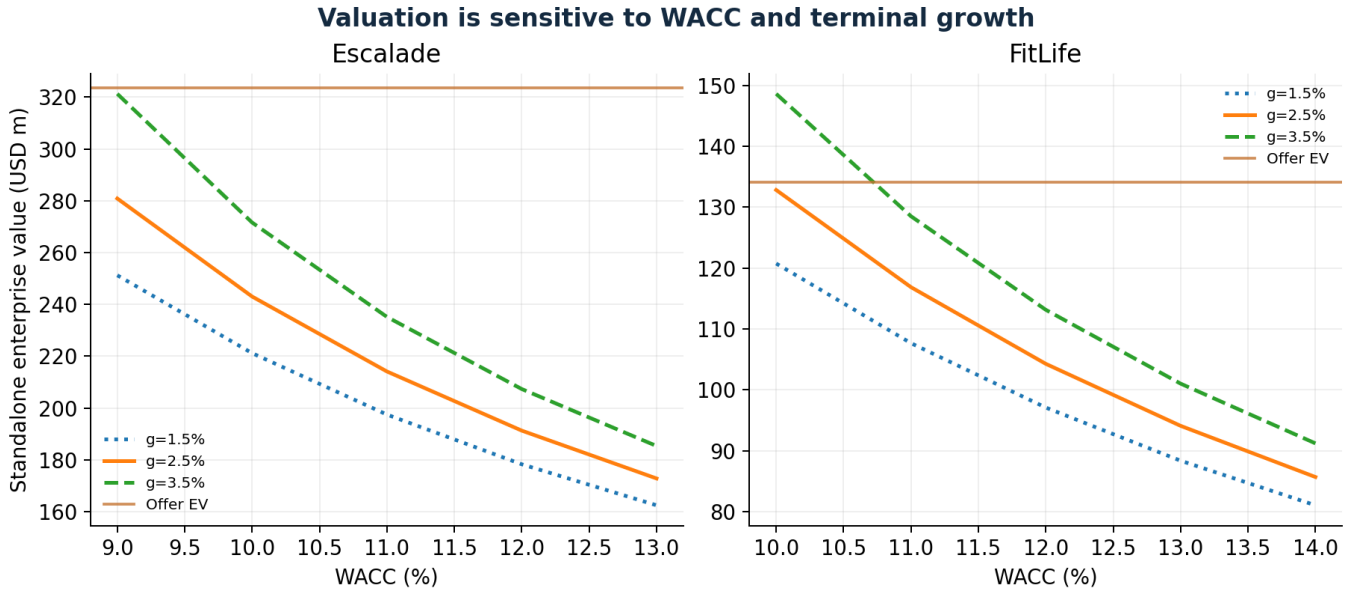
Driver	Escalade	FitLife
Revenue growth, Y1-Y5	2%, 3%, 3%, 3%, 2%	3%, 5%, 5%, 4%, 3%
EBIT margin, Y1 / Y5	8.35% / 9%	11% / 12%
Cash tax / D&A / capex	25% / 2.1% / 1.2%	25% / 1% / 0.5%
NWC investment / new sales	15%	12%
WACC / terminal g	11% / 2.5%	12% / 2.5%
PV explicit / PV terminal	68.2 / 145.9	35.2 / 69.0



Team growth, margin, tax and reinvestment assumptions; rolling years after Jun 2026 LTM.

Growth, margin, tax, reinvestment, WACC and terminal growth are team assumptions rather than company guidance. Escalade LTM EBIT removes a $9.875m tariff recovery. FitLife reported growth includes the 2025 Irwin acquisition.

A3. Sensitivity and capital



At the base WACC, Escalade EV ranges $197.5m-$235.2m across 1.5%-3.5% terminal growth; FitLife ranges $97.1m-$113.1m. The high WACC/g corners are not confidence intervals. Terminal value is about 68% and 66% of their base EVs.

Sources and uses	Escalade	FitLife
Equity offer / cash to sellers	325.1 / 130.0	97.0 / 48.5
UA stock to sellers	195.0	48.5
Target debt retired / assumed fees	14.9 / 6.0	38.1 / 4.0
Target cash acquired	16.4	1.1
UA June cash / closing cash	396.0 / 261.5	396.0 / 306.5

A $250m minimum cash balance is a team placeholder, not UA guidance. The bridge omits seasonal cash, closing adjustments, purchase accounting and financing costs. Escalade 60% stock mix implies ~40m illustrative new UA shares at a $4.88 secondary quote.

A4. Diligence and judge questions

Escalade: Verify whether equipment qualifies under the case rule; distinguish owned brands from STIGA and other licensed rights, review the adidas Fitness arrangement, retailer control of customer data, two-customer concentration, Gold Tip effects and tariff/import risk.

FitLife: Reconcile the 23% Q2 legacy revenue decline with Irwin-driven consolidated growth. Require SKU/cohort retention, product certification, substantiated claims, athlete-safe testing, debt terms and true new-to-UA customer measurement.

Commercial experiment: Pilot matched stores and opt-in digital cohorts; track new-to-UA purchasers, repeat purchases, cannibalization and incremental combined gross profit. The prior Year 3 FitLife case of $17.49m new sales and $3.47m operating contribution is an assumption, not observed demand.

What changes the recommendation? An organizer eligibility ruling, verified market quote and capitalization, organic growth evidence, contract rights, a seasonal cash plan, and risk-adjusted synergy NPV above the value gap plus integration costs. Compare acquisition against internal UA footwear and North America investment.

Primary filing links

UA June 2026 10-Q

Escalade 2025 10-K

Escalade June 2026 10-Q

FitLife 2025 10-K

FitLife June 2026 10-Q

The full appendix.md and target_valuation.xlsx contain the operating bridge, source URLs beside workbook inputs, formula sensitivities and further Q&A. This PDF is a presentation companion, not a fairness opinion or audited merger pro forma.